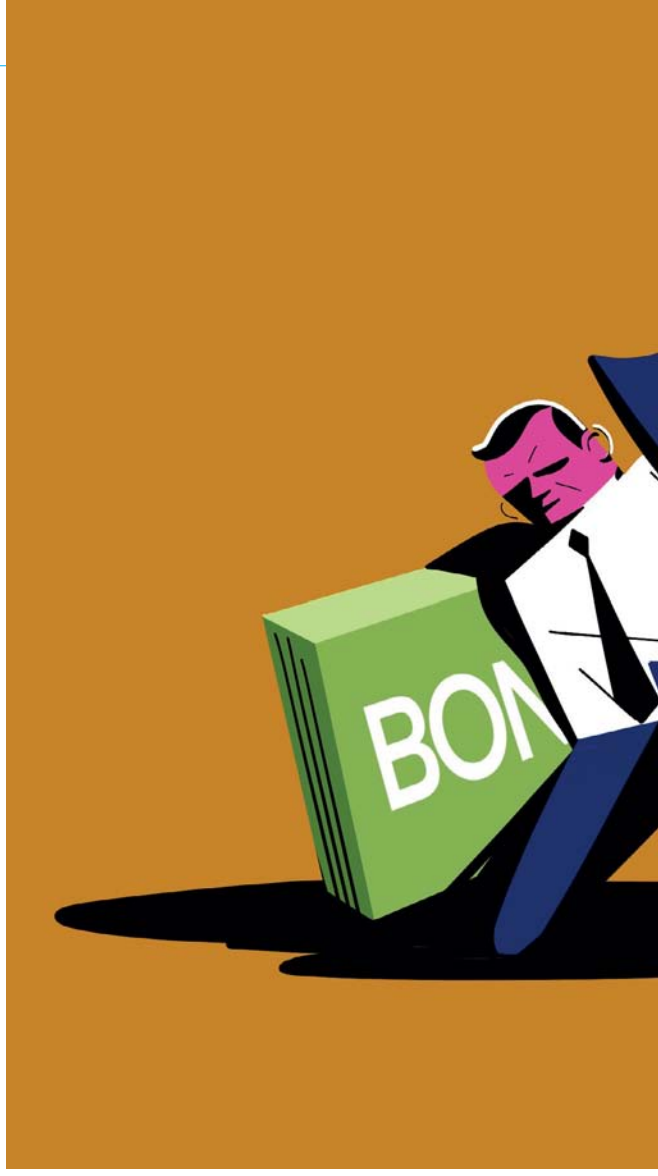
NEED TO KNOW

PROTECTION FOR BOND INVESTORS

Investing directly in bonds finds the regulatory protection for gullible retail investors who do not have any such safeguard when investing in them through entities not under the regulatory overview



The proliferation of fintechs is both a boon and a bane. In order to increase the access to the share of the wallet of those on their platform, several fintechs offer a variety of financial instruments. You can invest in stocks or funds, buy insurance, borrow money, buy fixed deposits, and invest in bonds and more. But, some of the financial instruments require specific regulatory approvals by intermediaries selling them, which they may not have. The securities on sale on such platforms are the ones that are listed according to the proposal, which protects any direct sale of bonds by the platforms.

In its continuous efforts to protect investors from loose regulations, market regulator SEBI proposed a regulatory framework for the online bond platforms that are selling listed debt securities. According to this proposal, bond platforms need to register as stock brokers (debt segment) with the SEBI or be run by SEBI-registered brokers, according to a consultation paper. Many of the platforms selling bonds may be backed by brokers or have arrangements with brokers in the backend. This move has been introduced to enhance confidence among investors, particularly non-institutional investors, as the platforms would have to be under SEBI purview.

Moreover, the proposal states that listed debt securities issued on a private placement basis, offered for sale on bond platforms, should be locked in for a period of six months from the date of allotment of such debt securities by the issuer. According to SEBI, "It was observed that there is an imperative need to govern the operations of these online bond platforms, keeping in mind the core objective of facilitation of efficient trading and robust investor protection norms for investors, particularly non-institutional investors."

Although the regulator has sought comments from the public on the proposal, chances are that these rules will come into effect given the limited understanding of bond markets by retail investors. Typically, transactions executed on the online bond platforms should be routed through the trading platform of the debt segment of exchanges or through the RFQ (Request for Quote) platform of the stock exchanges, where the transactions will be cleared and settled on a Delivery Versus Payment (DVP-1) basis. This, however, is not necessarily the case when

THE 18 PER CENT GST ON RENTAL INCOME IS BASED ON TYPE OF PROPERTY AND RENT THRESHOLD. IT CAN IMPACT EMPLOYEES LIVING IN COMPANY ACCOMMODATION